



LAURA PEDERSEN

Laura Pedersen went to Wall Street at 17; at 20 she was the youngest person, to that point, to have her own seat on the American Stock Exchange (her employer rented it for her because she wasn't old enough to own it); and before turning 24, she made \$1.5 million. Growing up outside of Buffalo, Pedersen was a born money-maker: at 6 she sold tomatoes from her mother's garden, played poker, and bet on horses; at 10 she asked for Pepsi-Cola stock for a birthday gift; at 14 she visited New York City and toured the AMEX. After a dull first semester at the University of Michigan, she dropped out. "If I'd wanted to be a movie star," she reflected, "I suppose I'd have headed west, to Hollywood; as I only sought to make a fortune, I flew east, to Wall Street."

Pedersen started as a clerk in January 1984, making \$120 a week. She went through several companies before landing with Spear Leeds Kellogg/Investors Company as a clerk for the traders. When the traders left for cigarette breaks, she started filling in as a pinch hitter. It was a world full of obscenity and nasty gestures, and as Pedersen said, "For the four years, three months, and thirteen days I traded—initially as a pinch hitter, then as a credentialed specialist—I did everything my parents told me never to do." Over that four-year-plus span, she made a respectable \$5.3 million in profits for her company. In the October 1987 crash, she made \$100,000 the day the bubble burst, but the next week she lost about \$1.6 million.

Pedersen, with a variety of throat, ear, and eye problems as a result of her work, ended up seeing a doctor, who urged her to quit. She did at age 24. Through those years, Pedersen kept a diary, which she turned into a book, *Play Money*. In it, she recalls such wild events as the time there was a fire but no one would leave the floor for fear of losing money. There were no regrets. "My reason for writing *Play Money*," she said, "is that I wanted to record what I perceived to be the final gasps of a tradecraft that has been rendered almost superfluous by high technology." In *The Last Frontier*, she paints a vivid picture of what it was like to be a trader and describes how to survive in the dog-eat-dog pit.